

Paradiem

The Morning Brief

AUGUST 9, 2026

Hormuz Frays

Weekend Edition — ADNOC tanker struck as Mecca pact ink dries; CPI Wednesday reframes September.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	WTI (FRI CLOSE)	GOLD (FRI CLOSE)	FEAR & GREED (CNN)
\$773.26 · ↑3.51% wk	\$723.03 · ↑5.09% wk	\$117.98 · Weekend attack tape	\$398.47 · Fresh peak wk	64 · Greed

SECTION 01

Markets — Week in Review

RECORD CLOSE ON A LABOR RESET — WITH VOL NEAR 2026 LOWS

The week closed at record highs across the major averages, with SPY ↑3.51% and QQQ ↑5.09% on the week per data drop, and the Friday tape reacting to a July nonfarm payrolls print of −23,000 that materially reset the Fed reaction function. Per CNBC coverage, options activity ran at record volumes across the week alongside the melt-up, and the VIX complex closed near its 2026 low with UVXY at \$21.62 per data drop. That combination — index all-time highs on record option turnover with vol compressed — historically leaves the tape more sensitive to a mispriced inflation print. July CPI lands Wednesday, August 12 at 8:30 AM ET per BLS release calendar, with PPI Thursday and Retail Sales Friday completing the macro window.

S&P 500 (SPY)	\$773.26 · ↑3.51% on the week
NASDAQ (QQQ)	\$723.03 · ↑5.09% on the week
SEPT FED HIKE ODDS	~44% · post-NFP re-price
GOLD (GLD)	\$398.47 · Fresh peak on the week
WTI (USO)	\$117.98 · Fri close before Sat ADNOC strike
UVXY (VIX PROXY)	\$21.62 · Near 2026 low
CPI (JULY)	Wed Aug 12 · 8:30 AM ET per BLS

THE FED PATH INTO CPI WEEK

Per CBS and CNBC coverage of the Friday post-NFP re-price captured in prior briefs, CME FedWatch odds of a September Fed hike fell to roughly 44% and October hike probability

slipped to roughly 55%, materially altering the framework analysts had constructed heading into Q3. The July CPI print Wednesday morning becomes the second-largest input into that September conversation. Consensus positioning heading into the print is anchored to a headline reading that keeps the disinflation trajectory intact despite the crude-driven services and energy pass-through vectors that developed through July. A hotter-than-expected core reading would immediately re-inject the tightening bias that the labor print softened; an in-line or cooler print would consolidate the dovish reset. The FCI dividend sleeve carries the higher-duration positioning through NEE, ATO, and CEG, while the AI-power thesis carries the equity beta to the front-end conversation.

A record close on record option volume with vol at 2026 lows is a tape that has front-loaded confidence into a CPI print it has not yet seen. Avoid erosion.

SECTION 02

Geopolitics — ADNOC Attack Reignites the Physical Vector

UAE SAYS IRAN STRUCK AN ADNOC TANKER IN HORMUZ SATURDAY MORNING

Per Reuters headlines captured in the data drop and Al Jazeera coverage of the Saturday statement, the UAE Ministry of Foreign Affairs said an ADNOC-linked vessel was struck by an Iranian missile in the Strait of Hormuz early Saturday, characterizing the incident as an act of maritime piracy attributable to Iran's Revolutionary Guard Corps. Per the UAE statement and Al Arabiya coverage, no injuries were reported and the situation was described as under control, with Qatar joining in condemnation per The National. Per Reuters coverage of the ADNOC statement, this is the 16th ADNOC vessel targeted since the conflict began in late February, including three in the past week alone. The strike lands the same weekend that Iran and Oman have both signaled a Hormuz framework is close, with Iranian officials nonetheless characterizing the coming arrangement as insufficient to fully reopen the waterway per the Reuters wire captured in the data drop. For the crude tape, the sequence — framework advertised as close, tanker struck, framework re-cast as partial — keeps physical Hormuz friction intact and reintroduces a discrete escalation vector into the Sunday-Monday open.

IRAN RESPONDS TO THE MECCA PACT WITH TWO VOICES

Per Iran International, Al Jazeera, and Gulf News coverage of the weekend response to Friday's Saudi-Turkey-Pakistan Mecca Joint Defence Agreement, Iran's response arrived on two tracks. Per Al Jazeera coverage of President Pezeshkian's statement, Iran does not seek war or territorial expansion but will not yield to coercive pressure, a formulation consistent with the negotiating posture Tehran has held through the Hormuz talks. Per Iran International coverage, Foreign Minister Araghchi called for Muslim unity as a counter-frame to the pact. Per Iran International separately, parliamentarian Ebrahim Rezaei took the harder line, dismissing the pact as a symbolic document and asserting that Iran's missile capability would answer the signatories directly. Per Reuters coverage of Turkish Foreign Minister Hakan Fidan's Saturday remarks captured in the data drop, Ankara framed the pact as technically equivalent to NATO's Article 5 while stating it does not identify Iran or any other country as a common threat. The two-track Iranian response — presidential moderation, parliamentary escalation — is the read to carry

into the Monday open, particularly if additional maritime incidents follow the ADNOC strike.

YEMEN THEATER DEEPENS ALONGSIDE REGIONAL REALIGNMENT

Per Al Jazeera and NBC News coverage, Houthi ballistic missile and drone strikes on Marib continued through Friday and into the weekend, killing civilians and prompting a Yemeni government counteroffensive framed as retaliation for a Houthi shift toward preemptive strikes on Marib army positions. Per U.N. Special Envoy Hans Grundberg's Friday assessment cited by NBC, the combination of Marib and Hadramawt strikes and renewed attacks on commercial shipping in the Red Sea and Gulf of Aden leaves Yemen at its greatest risk of large-scale conflict since the U.N.-brokered April 2022 truce. For FCI defense-sleeve positioning (LMT, GD), the layered escalation across three theaters — Hormuz maritime, Yemen ground, and Sunni-alliance formalization — supports the long-cycle order-flow directional read even as specific procurement composition remains undisclosed. GD's Friday tape included Pentagon-adjacent news, with a \$1.3B cybersecurity contract announcement per Yahoo coverage.

On Our Radar

1. Week Ahead — CPI Wednesday, PPI Thursday, Retail Sales Friday. The macro window this week is anchored by July CPI Wednesday, August 12 at 8:30 AM ET per BLS release calendar, followed by PPI Thursday and Retail Sales, Industrial Production, and preliminary Consumer Sentiment Friday. Fed communication includes Barkin and Schmid Tuesday and Barkin again Thursday per public schedules. Corporate earnings pick up mid-week with Cisco (CSCO) after the close Monday and Applied Materials and Deere later in the week. Per CBS and CNBC coverage of the Friday post-NFP re-price, CME FedWatch September hike odds sit near 44% and October near 55%; the CPI print will be the single largest input into whether the labor-softening thesis or the crude-driven services vector carries greater weight into the September meeting. FCI positioning through the week retains full deployment discipline — the CPI print is a signal-generating event, not a call-to-action.

2. ADNOC Strike Reshapes the Sunday Night Oil Setup.

The Saturday morning missile strike on an ADNOC vessel in the Strait of Hormuz per Reuters, Al Jazeera, and Al Arabiya coverage reintroduces a discrete physical escalation vector into the Sunday-Monday tape. CME crude futures reopen Sunday evening at 6:00 PM ET per exchange schedule, and the weekend has now stacked three catalysts against the crude complex: the ADNOC strike, the Iran-Oman framework re-cast as insufficient to fully reopen the strait, and the sustained Houthi shipping-lane pressure in the Red Sea and Gulf of Aden. WTI closed Friday at \$117.98 per data drop, below the Wednesday reversal high but well above the pre-Hormuz baseline. The FCI energy sleeve (CVX, CNX, OKE) sits directly in the transmission channel; the Sunday-Monday gap risk is skewed higher, though a diplomatic de-escalation cannot be ruled out.

3. Record Option Volume Alongside Vol Compression.

Per CNBC coverage captured in the data drop headlines, options activity ran at record volumes across the week alongside the S&P 500 surge to record highs, with the volatility gauge near its 2026 low. UVXY at \$21.62 per data drop is consistent with a tape that has efficiently absorbed the NFP miss and the Hormuz partial-framework news into a bullish equity read while retaining precious-metals hedging (gold at a fresh peak Friday). The asymmetry into CPI Wednesday is that a hotter print would have more room to reprice given the compressed vol backdrop; an in-line print would consolidate the current bullish structure. FCI positioning does not react to individual macro prints, but the sleeve-level composition — dividend duration through NEE/ATO/CEG, digital-asset exposure through IBIT/ETHA, precious-metals via AEM — is well-suited to a two-tailed CPI outcome.

4. Carson's SPY \$645.80 Support Remains Active. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Friday's \$769.61–\$773.91 S&P 500 intraday range and now sits approximately 16.5% below the current tape after the week's ↑3.51% advance. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the Hormuz corridor framework in doubt after the ADNOC strike, the Mecca pact drawing a two-track Iranian response, CPI landing Wednesday, and vol near 2026 lows, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single Monday gap in either direction.

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